# Customer behaviour review — Olist marketplace

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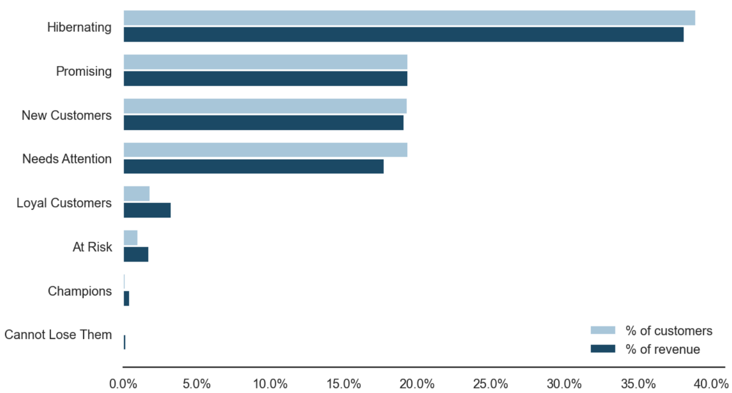
| 3.0% | 8× | 1.00 | R$457k |
|---|---|---|---|
| of customers ever buy a second time | acquisition growth, 0× retention gain | avg orders per customer in every major segment | annual value of a 3pp repeat-rate lift |

## What I found

**1. Almost nobody comes back, and that has not changed.** Of 94,990 customers acquired in the period, only **3.04%** ever placed a second order. Month-1 return averaged **0.46%** across 20 monthly cohorts. Comparing cohorts over a matched three-month window, customers acquired in 2018 returned at the same ~1.0% rate as those acquired in early 2017 — the problem is structural, not seasonal.

**2. Fulfilment is not the bottleneck; speed is.** 96% of placed orders reach the customer and no stage of the funnel loses more than 2%. But median delivery takes **10.2 days**, and the slowest 10% of customers wait **23.1 days** or more — over twice as long.

**3. There is no high-value customer tier to protect.** The top 20% of customers by value generate **53.6%** of revenue, but they differ from everyone else only in the size of a single order, not in how often they buy. Average purchase frequency is **1.00** in every major segment. "Champions" — recent, frequent buyers — number 129 people, 0.45% of revenue.




| Segment | Customers | % base | % rev | Avg orders |
|---|---|---|---|---|
| Hibernating | 36,964 | 38.9% | 38.1% | 1.00 |
| Promising | 18,397 | 19.4% | 19.4% | 1.00 |
| Needs Attention | 18,381 | 19.4% | 17.7% | 1.00 |
| New Customers | 18,353 | 19.3% | 19.1% | 1.00 |
| Loyal Customers | 1,729 | 1.8% | 3.3% | 2.03 |
| At Risk | 959 | 1.0% | 1.7% | 2.00 |
| Champions | 129 | 0.1% | 0.5% | 3.51 |
| Cannot Lose Them | 71 | 0.1% | 0.2% | 3.14 |

**Share of customers (light) against share of revenue (dark).** In a business with a valuable core these bars diverge sharply. Here the top four segments each hold a revenue share within one point of their customer share, and average one order per customer. The segments differ by *when* people bought, not by what they are worth.

## Why it matters

• At a 3.0% repeat rate, effectively all revenue must be bought through acquisition. Lifting repeat purchase from 3.0% to 6.0% — still far below marketplace norms — would generate roughly 2,850 additional orders, worth approximately **R$457,000** per year at today's average order value of R$160. No new customers required.

• The Hibernating segment holds R$6.0M in historic revenue across 36,964 customers. Reactivating 5% would produce ~1,850 orders worth **R$296,000**, well below the cost of acquiring the same number of new customers. At 446 days dormant, 5% is an optimistic assumption — it should be tested on a sample before budget is committed.

• Acquisition grew roughly **8×** between January 2017 and July 2018 while the three-month repeat rate stayed flat at ~1%. Every unit of growth was purchased; none compounded. The business is running on one cylinder and does not currently measure the other one.

## What I'd do about it

**1. Trigger a day-30 second-purchase offer.** Target the 18,353 New Customers with an offer matched to their first-purchase category. The median gap between first and second order is 29 days, so the window closes within a month of delivery. Run it as a holdout test; success is a 6% second-order rate within 60 days, double the current baseline.

**2. Report repeat rate next to new customers, monthly.** Acquisition growth has masked flat retention for 20 months because the two are not reported together. Adding repeat rate to the monthly dashboard makes the gap visible while it is still cheap to act on. Zero incremental spend.

**3. Put the 1,030 multi-purchase customers on a priority list.** "At Risk" and "Cannot Lose Them" are just 1.1% of the base but are almost the only customers who buy more than once (2.0 and 3.1 orders on average, against 1.00 everywhere else). Both groups are already lapsing at 433 and 443 days. Give them priority fulfilment and a named re-engagement contact before the behaviour disappears from the base entirely.

## Method and limitations

Cohorts, funnel and RFM built in MySQL 8 over 99,441 orders from the Olist public dataset, keyed on `customer_unique_id`. The order-level `customer_id` is regenerated for every order and would understate repeat purchase to zero. Revenue is item price plus freight. Cohort comparisons across time use a matched three-month observation window (cohorts through April 2018 only) so that later cohorts are not penalised for having less elapsed time; comparing full-window retention across cohorts of different ages would show a false decline.

**Delivery performance was tested as an explanation and does not hold.** Customers whose first order arrived late repeat at 2.54% against 3.07% for on-time deliveries — a gap of 0.53 percentage points, worth under R$7,000 annually across 7,596 late first deliveries. Customers whose first order was never delivered repeat at 3.60%, the highest of the three groups. Fulfilment is not the lever.

**One caveat:** review requests are sent at dispatch rather than delivery, so "reviewed" is not strictly downstream of "delivered" — 2,843 orders carry a review with no recorded delivery date. The funnel above enforces nesting, which slightly understates review volume.